Module 14
Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer 1(a)

The phrase "normally managed or controlled" has been discussed in DIPN 44 where "Management" refers to the management of daily business operations, or implementation of the decisions made by top management, whereas "Control" refers to control of the whole business at the top level, including formulating the central policy of the business, making strategic policies of the company, choosing business financing, evaluating business performance, etc. It further suggests the board of directors usually exercises "Control".

The following business activities mentioned in the case are relevant in this context:

- The day-to-day running and supervision of the business.
- Board meeting for formulation, evaluation and business strategy decisions.
- Monitoring of loan financing to support property acquisition.
- Execution of business strategies.

Answer 1(b)

In general, the place of incorporation of a corporate taxpayer usually takes a lesser importance in determining its tax residency, comparing to the concepts of normally managed or controlled, and place of effective management. On this basis, the following evaluation has focused on the latter 2 factors even though U Limited and H Limited are incorporated in different jurisdictions.

The evaluation and conclusion process should be wholly based on facts. The relevant information is summarized below:

Activities	By	Location	Function
Running & supervision	Couple	HK	Management
Board meeting	Couple	HK	Control
Monitoring of loan	Couple	HK	Management
Execution	Sales and admin team	HK/Country U	Management

No clear conclusion can be drawn based on the concept of normally managed or controlled, as there is one function conducted in both jurisdictions, though Hong Kong has a dominant role given that all the functions are conducted at least partly in Hong Kong.

If U Limited and H Limited are regarded as tax resident both in Hong Kong and Country U, we can further look at the place of effective management, being the location where key management and strategic decisions that are necessary for the conduct of business of U Limited and H Limited are in substance made. This will be the place where the most senior persons of U Limited and H Limited (i.e. the couple) formulate the direction and work plans. Based on this concept, it is clear that the conclusion of tax residency is Hong Kong.

Answer 2(a)

Under s.14 of the IRO, a taxpayer is chargeable to profits tax if he

1 carries on a trade, profession or business in Hong Kong, and
2 has Hong Kong source revenue profit from such trade, profession or business.

Whether a corporate taxpayer is carrying on a business in Hong Kong is a matter of fact. The place of incorporation is irrelevant.

Under both Plan A and B, the Hong Kong activities are the same, i.e. the conducting of a property agency business with the presence of a Hong Kong office and sales team, with a view to generate business profit for the benefit of the business owner.

It is reasonable to conclude that a business will be carried on in Hong Kong, either by H Limited under Plan A, or by the Hong Kong branch of U Limited under Plan B.

It follows that any Hong Kong source revenue profit generated by the above Hong Kong business will be subject to profits tax under s.14 of the IRO.

The profits in question are commission income from provision of property agency service, and rental income from property letting. According to the decision in the Heng Seng Bank case, the source of the profit from service fee income is the location where the profit generating activities are conducted, whereas for rental income from immovable property the profit source is the location where the property resides.

By applying the above source rules, the source of the commission income would be partly onshore/offshore. The source of the rental income would be wholly offshore.

Based on the above analysis, it can be seen that the conclusion on income taxation under Hong Kong profits tax is based on the facts that support the existence of a business, and the broad guiding principle of "what the taxpayer has done to earn the profit in question and where he has done it" to determine the profit source. The legal form of the taxpayer (whether a company or branch) is irrelevant. Therefore, there should be no difference in terms of the Hong Kong taxation of income under Plan A and B.

Answer 2(b)

Tax considerations

- When the investment properties are transferred from U Limited to H Limited, will it trigger any balancing charge adjustment due to claw back of tax depreciation previously granted? If yes, does U Limited have tax losses to shelter this additional taxable income? If not, what is the amount of cash tax outflow due to this one-time adjustment in the year of business disposal?

- Are capital gains taxed as ordinary business income in Country U? Transfer of investment properties from U Limited to H Limited at fair market value may trigger capital gains tax in Country U. If there is no indexation adjustment the amount of capital gains can be huge leading to a substantial immediate cash tax outflow at initial stage of Plan A operation, badly affecting the financial position of the restructured business.

- Is H Limited, as the buyer, required to withhold any tax from the purchase consideration for the business assets and investment properties to be paid to U Limited? If yes, what is the rate, computation basis, timing for payment and settlement mechanism? Whether U Limited can claim a tax refund if the tax withheld is higher than the actual disposal gains?

- How are the transfer tax and stamp duty computed on the transfer of investment properties from U Limited to H Limited? Is there any group relief applicable to intra-group transfer of real properties and what are the conditions for granting the group relief?

- Is transfer of real property a taxable supply and subject to any GST in Country U? Can H Limited being a non-resident company obtain a GST registration in Country U and recover the GST paid either through input excess refund or set-off against output GST from future rental income? If this cannot be recovered the 15% GST will be a hefty tax cost to Plan A.

- When U Limited distributes its after-tax retained earnings to the couple before liquidation, will distribution/dividend received by the couple be subject to individual income tax in Country U? Any relief or tax deferral available since the distribution relating to business disposal gains is largely unrealized?

- Is there an exit tax in Country U due to migration of the couple to Hong Kong and thus ceasing to be a tax resident in Country U? Will such cessation trigger any tax audit or investigation over the couple's historical tax filing? Is there any time limit for such back year investigation?

- Whether the business disposal and asset transfer between U Limited and H Limited (which are related companies) will be considered by Country U tax authority as part of a tax avoidance scheme and hence subject to tax audit and investigation? Should this be the case what is the maximum penalty exposure?

Commercial considerations

- Whether Country U's law allows foreign company H Limited to wholly own real property located in Country U? Whether beneficial ownership can help to address the above restriction? If this is helpful does it mean the couple need to retain their residency in Country U? If these restrictions apply U Limited will need to be retained as owner of the real properties thus increasing the overall business costs of the restructured business.

- Whether U Limited has enjoyed/ received any business grant or subsidy from the government of Country U previously? If yes whether the business disposal and subsequent liquidation of U Limited will need government prior-approval, trigger any clawback of benefits, or even denial of the restructuring until the incentive period is over?

- Are the banks in Country U willing to extend the mortgage loans to H Limited on the same terms? Given the borrower H Limited is a foreign company will the borrowing terms become less competitive? How is the current lending market in Country U compared to Hong Kong and is there any advantage/ risk for borrowing in Hong Kong in another currency?

- Are all sales team members willing to accept the relocation arrangement? If there are key team members who are unwilling to move and resign, what are the staff redundancy costs and loss of productivity involved? Are the couple confident that similar skilled sales team members can be recruited in Hong Kong?

Answer 2(c)

H Limited
Profits Tax Computation
After business restructuring

	Country U Operation HK$	Hong Kong Operation HK$	Total HK$
Revenue/Commission – note A	6,000,000	6,000,000	12,000,000
Expense:			
Staff costs – sales team	-	(2,000,000)	(2,000,000)
Staff costs – administrative team	(1,000,000)	-	(1,000,000)
Office rental and expense	(500,000)	(2,400,000)	(2,900,000)
Interest expense – note B	-	-	-
	4,500,000	1,600,000	6,100,000
50% attributable to offshore – note C			(3,050,000)
Assessable profits			3,050,000

Note A: Profit from property investment is arising from the letting of immovable properties, the profit source is determined by the location of the letting properties (see Heng Seng Bank case). Since the residential units are all located in Country U, the profit is offshore in nature and not subject to Hong Kong profits tax.

Note B: Interest expense from a loan borrowed to finance letting properties that generate offshore property investment profit is non-deductible being not incurred in the production of chargeable profits.

Note C: Commission income from property agency business is earned from the joint efforts of the Hong Kong sales team and Country U administrative team. The nature of income in question is service fee, the source of which is determined by the location where the profit generating activities are conducted (see Heng Seng Bank case). The IRD accepts apportionment of service fee income if the profit generating activities are conducted both inside and outside Hong Kong. Taking the 50% ratio given in the question, the assessable profits is HK$3,050,000.

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Answer 3(a)

The agreement for sale for purchase of residential property in Hong Kong is subject to ad valorem stamp duty at the rate specified in Scale 1 Part 1, which is a flat rate of 15% on the transfer consideration or market value of the residential unit, whichever is higher. Scale 2 rate is not applicable as the couple are not Hong Kong permanent residents ["HKPR"] (they are foreigners who have arrived in Hong Kong for less than 1 year and are thus unable to obtain a valid Permanent Identity Card yet) at the time of purchase. The conveyance on sale is also subject to stamp duty at the fixed amount of HK$100.

Buyer stamp duty at 15% on the transfer consideration or market value of the property, whichever is higher, is payable on the agreement for sale as the property involved is a residential unit. Exemption is not applicable as the couple being the buyer are not HKPR.

Special stamp duty is not applicable as the residential unit is purchased directly from the developer, and there is no indication that the property is acquired and resold within 36 months.

Answer 3(b)

Ad valorem stamp duty is computed as a percentage of the greater of the consideration for the transaction or the value of the property transferred by virtue of the transaction (Heads 1–3 of the First Schedule and ss.27(4) and 29F of the Stamp Duty Ordinance).

In this case, while stamp duty will in the first instance be charged by reference to the stated consideration of HK$2 million in the agreement for sale, this amount is clearly less than the market value of the residential unit at HK$20 million. Stamp duty would be charged on the market value of the property transferred, i.e. HK$20 million.

On the other hand, the transfer of 5% shareholding in H Limited from the couple to the seller developer constitutes transfer of Hong Kong stock (because the shares being transferred are issued by a Hong Kong incorporated company) and attracts stamp duty at 0.26% plus HK$5 for the instrument of transfer. On the same token, the bought and sold notes, though with stated consideration of HK$2 million, will be stamped at HK$20 million being the market value of the residential unit.

Answer 4(a)

Common Reporting Standard ("CRS") is a global initiative released by OECD with the objective of preventing tax evasion (and combatting the use of offshore tax avoidance scheme by taxpayers failing to declare foreign income) through the use of automatic exchange of information agreements amongst different jurisdictions that are signatories to a Multilateral Competent Authority Agreement ("MCAA").

The CRS defines the information required to be shared (including account holder's name, address, date of birth, place of birth, country of tax residence, tax identification number, bank account details, total account balance at end of calendar year), the financial institutions required to report, the type of people that are subject to information exchange, and the procedures that financial institutions are required to follow.

Under CRS only financial information for individual tax residents of reportable jurisdictions and passive non-financial entities ("passive NFE") whose controlling persons are tax residents of reportable jurisdictions is collected and exchanged. Passive NFE is defined to include non-financial entity with no trading activities and its income is passive income or dividend from holding assets like properties and shares passively.

Though H Limited is beneficially owned by the couple who are tax residents of a reportable jurisdiction (i.e. Country U assuming the couple has not taken up Hong Kong tax residency by the time when H Limited applies for the Hong Kong bank account), H Limited is not a passive NFE as it has active business conducted in Hong Kong. Therefore even though Hong Kong and Country U are signatories to a MCAA, the bank in Hong Kong has no obligation to collect the bank account information and exchange this information annually with the tax authority in Country U.

Answer 4(b)

In preparing the service proposal for the tax engagement pursuit, the firm should observe the requirements outlined in s.600 "Ethics in Tax Practice" of Chapter C "Additional Ethical Requirements" in the Code of Ethics for Professional Accountants published by HKICPA.

The client's unusual requests have violated the above requirements, when these requests are considered collectively one would doubt the integrity of the client, these issues should be bought up in the partner discussion before the service proposal is released:

- Adherence to client's instruction has a limit, the firm should take any necessary steps to ensure the return is prepared properly based on the information received from H Limited, and be prepared to explain to H Limited where inappropriate tax treatments are suggested by the couple and persuade H Limited to adopt the correct tax treatments. Blindly following H Limited's suggestion without assessment of the appropriateness will impair the firm's standards of integrity and professional competence.

- It is generally acceptable for the firm to rely on information provided by H Limited if the information appears reasonable, if in doubt the firm should request supporting evidence, documentation or data where appropriate. Any attempt to prevent the firm from verifying facts and estimates should have a valid reason, and such reason should be assessed by the firm objectively and sensibly.

- All tax advice or opinions of material consequences given to H Limited should be recorded and filed, keeping the work papers and deliverables for not more than 3 days can hardly be said to have reasonably satisfied the filing requirement.

In the event that H Limited insists its requests should be adhered to, the firm should inform H Limited that it cannot work in any capacity with H Limited and declines the proposal request.

If the tax engagement has been accepted and commenced and the firm decides to cease working for H Limited because of the above issues, H Limited should be notified before the authorities are notified, if necessary. The firm should determine whether disclosure of the matter to the external auditor or the IRD is appropriate.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS **(Total: 50 marks)**

Answer 5(a)

In order to be eligible for two-tiered profits tax rates, the principal condition is that only one entity within a set of connected entities is eligible for the lower rate (s.14AAC of the IRO). An entity for the purposes of the two-tiered profits tax rates regime includes natural persons. If a natural person carries on more than one sole-proprietorship business, the person is taken to be a separate entity in relation to each sole proprietorship business.

For B's Art House, a connected entity includes any corporations, partnerships or trusts controlled by Betty, or any other sole-proprietorship businesses carried on by Betty.

Betty has control over another entity if she owns or controls more than 50% in aggregate of the issued share capital of the latter entity; she is entitled to exercise or control the exercise of more than 50% in aggregate of the voting rights in the latter entity; or she is entitled to more than 50% in aggregate of the capital or profits of the latter entity.

Whether B's Art House qualifies for the two-tiered profits tax rates depends on whether it has any connected entity. If B's Art House has no connected entity, then it qualifies for two-tiered profits tax rates. If, however, it has connected entity(ies), then only one of the connected entities could elect for two-tiered rates.

Answer 5(b)

Property tax liability of Betty
Year of assessment 2021/22

	HK$
Rent – Cheung Chau Property (HK$9,800 × 12)	117,600
Rent – Shatin CPS (HK$3,800 × 2)	7,600
	125,200
Less: 20% statutory deduction	(25,040)
Net Assessable Value	100,160
Property tax @ 15%	15,024

B's Art House
Profits tax computation
Year of assessment 2021/22

	HK$
Profits from painting classes	180,000
Subletting income (HK$2,700 × 5)	13,500
Assessable Profits	193,500
Profits tax @ 7.5%	14,512
Less: Tax reduction	(10,000)
Profits tax payable	4,512

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Answer 5(c)

Tax liability under Personal Assessment of Betty
Year of assessment 2021/22

	HK$
Net Assessable Value	100,160
Assessable Profits	193,500
	293,660
Less: Mortgage interest – Shatin CPS (Note 1)	(2,000)
Reduced total income	291,660
Less: Basic allowance	(132,000)
Net Chargeable Income	159,660
Tax under Personal Assessment (Note 2)	10,352
Less: Tax reduction	(10,000)
Tax payable	352

Notes:

1. Only interests incurred when the property was let out (i.e. February and March 2022) are deductible. HK$1,000 × 2 months = HK$2,000.

2. Tax at progressive rates

Net Chargeable Income	Rate	Tax HK$
On the first HK$50,000	2%	1,000
On the next HK$50,000	6%	3,000
On the next HK$50,000	10%	5,000
Balance HK$9,660	14%	1,352
		10,352

Tax payable under schedular basis = Property tax HK$15,024 + Profits tax HK$4,512 = HK$19,536.

Tax payable under Personal Assessment = HK$352.

Therefore, it is advantageous for Betty to elect for Personal Assessment for the year of assessment 2021/22.

Answer 5(d)

Under s.51(2) of the IRO, Betty is obliged to notify the Commissioner in writing of her chargeability to tax not later than four months after the end of the basis period for the year of assessment concerned, unless she has already received a tax return.

As Betty has not received a tax return for the year of assessment 2021/22 as at 1 July 2022, she should notify IRD of her chargeability to tax not later than 31 July 2022, i.e. four months after the end of the basis period for the year of assessment 2021/22.

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Answer 6(a)

Pursuant to s.9(1)(d) of the IRO, income from any office or employment includes any gain realised by the exercise of, or by the assignment or release of, a right to acquire shares or stock in a corporation obtained by a person as the holder of an office in or an employee of that or any other corporation.

S.9(4) of the IRO further provides that the gain realised by the exercise at any time of the right to acquire shares or stock shall be taken to be the difference between the amount which a person might reasonably expect to obtain from a sale in the open market at that time of the shares or stock acquired and the amount or value of the consideration given whether for them or for the grant of the right or for both. In other words, the gain computed under s.9(4) is a notional gain.

As at 31 May 2021, 4 tranches of the share options, i.e. 25,000 × 4 = 100,000 share options have vested. Gain realised by Juno and to be included as his income chargeable to salaries tax for the year of assessment 2021/22 is computed as follows:

	HK$
Open market value at exercise, i.e. 31 May 2021 (HK$6.2 × 100,000)	620,000
Less: Consideration paid (Strike price HK$2 × 100,000)	(200,000)
Brokerage fee	(1,000)
Assessable share option gain	419,000

Juno's employment with BFL is a Hong Kong employment. According to paragraphs 41 and 42 of DIPN 38 (Revised), if Juno rendered services in Hong Kong during visits exceeding 60 days in any year of assessment included in the vesting period, all of the gain from the exercise of the share option would be chargeable to Salaries Tax. However, if during each such year Juno's visits did not exceed a total of 60 days, s.8(1A)(b)(ii) and (1B) would apply and no part of the gain would be chargeable.

Vesting periods of the 4 tranches of share options covered the year of assessment 2019/20 (the first tranche), years of assessment 2019/20 and 2020/21 (the second and third tranches), and the years of assessment 2019/20 to 2021/22 (the fourth tranche). As Juno rendered services and stayed in Hong Kong for more than 60 days in the years of assessment 2019/20 and 2021/22, the share option gains from all 4 tranches are fully assessable to salaries tax.

Answer 6(b)

Under s.9(1)(b) of the IRO, income from any office or employment includes the rental value of any place of residence provided rent-free by the employer or an associated corporation.

S.9(6) of the IRO defines "associated corporation" to mean, among others, a corporation over which the employer has control. Further, s.9(6) also defines "control", in relation to a corporation, to mean the power of a person to secure (a) by means of the holding of shares or the possession of voting power in or in relation to that or any other corporation; or (b) by virtue of any powers conferred by the articles of association or other document regulating that or any other corporation, that the affairs of the first-mentioned corporation are conducted in accordance with the wishes of that person.

Under s.9(2) of the IRO, the rental value of any place of residence provided (not being hotel, hostel or boarding house) by the employer or an associated corporation is deemed to be 10% of the income from the employer under s.9(1)(a) for the period during which a place of residence is provided, after deducting (1) employment expenses or capital allowances under s.12(1)(a) and (b); and (2) any lump sum payment or gratuity paid upon the retirement or termination of the employment.

As share option gain is an income under s.9(1)(d) but not s.9(1)(a), it is excluded from the computation of rental value.

BFS is the wholly-owned subsidiary of BFL. Thus, it is an associated corporation of BFL within the meaning of s.9(6).

Rental value of the rent-free residence provided by BFS to be included as Juno's income chargeable to salaries tax for the year of assessment 2021/22 is computed as follows:

	HK$
Income from BFS from 1.9.2021 to 31.3.2022	200,000
Income from BFL from 1.9.2021 to 31.3.2022 (HK$100,000 × 7)	700,000
Total	900,000
Rental value (10% of total)	90,000

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Answer 7

To: Tommy
From: Sammie Wong, Tax Advisor
Date: xxx
Subject: Tax implication of the contract sum you received under the contract with FPL.

This memo serves to advise how the contract sum you received from FPL under the contract would be taxed. The underlying issue rests on whether you rendered services as an employee of FPL or as a person in business on your own account.

If it is the former case, the contract sum is income from employment and chargeable to salaries tax under s.8(1)(a) of the IRO. Otherwise, the sum is business income subject to profits tax under s.14(1) of the IRO.

In deciding whether an employment relationship exists, we should apply the 4 established tests derived from case law. In your case, the tests are applied in turn as follows:

<u>Control test</u> (Yewens v Noakes (1880) 6 QBD 530)

This test examines the degree of control exercised by FPL on you to determine whether an employer-employee relationship exists.

Under the contract, you had to develop the Mobile App up to the standards and requirements of FPL and its client. You should complete your work within the prescribed schedule as well. Clearly, FPL had control over the nature and time frame of your work. However, you had no fixed working hours and location, except for attending meetings as agreed among the parties. You could also work for others without the approval of FPL.

Arguably, the control exercised by FPL on you did not reach the usual extent under an employment relationship. Rather, you could decide on how the Mobile App was actually developed, provided that the job specifications were complied with.

In any case, it would be inadequate to draw a conclusion based solely on the control test. Further tests should also be applied as analysed below.

<u>Integration test</u> (Bank voor Handel en Scheepvaart NV v Administrator of Hungarian Property (1954) 35 TC 311)

This test focuses on whether you were holding a position within the organisational structure of FPL.

There is no information suggesting that FPL regarded you as an integral part of the organisation. For example, you could not be promoted within the organization framework, and had no subordinate who was also an employee of FPL. Again, there is no information that you represented yourself to FPL's client or other third parties that you were an employee of FPL.

Further, the relationship between FPL and you under the contract was not a continuing one, but for the purpose of the Mobile App project only.

Economic reality test (Market Investigations Ltd v Minister of Social Security (1969) 2 Q.B. 173; Fall v Hitchen (1972) 49 TC 433)

For this test, relevant considerations include the financial risk undertaken by you, your responsibilities for investment and management, whether you had to provide equipment and employ assistant, etc.

The contract clearly provided that FPL and its client would not reimburse any costs and expenses incurred by you for the project. In other words, you had to make use of your own resources, like computer hardware and software, or even engaging sub-contractor, in order to complete the project.

Moreover, your reward under the contract was a fixed sum which was payable depending on the percentage of completion. If you failed to provide deliverables to the satisfaction of FPL and its client, or delayed in meeting any project milestones, you had to bear the risk of not being paid the full contract sum, or a delay in payment. This remuneration arrangement is inconsistent with a normal employer-employee relationship.

Mutuality of obligation test (Cheng Yuen v The Royal Hong Kong Golf Club (1997) 10 HKLR 1132; Poon Chau Nam v Yim Shiu Cheung (2007) HKLRD 951; Usetech v Young (2004) STC 1671; Hafal v Lane-Angell (2018) EAT 0107/17)

Under this test, we have to see if there is an obligation on you to work and on FPL to pay you and provide work during the time of contract. In your case, FPL is not obliged to provide and you are not obliged to accept work outside the scope of the Mobile App project.

Totality of facts approach

After all, the totality of facts approach should be adopted in deciding the issue. No single test should be relied on, nor should we apply a combination of them mechanically in a "checklist" manner.

Having considered the facts available, you were providing professional services to FPL as a software engineer under the contract on your own account. There was no employer-employee relationship existed. The contract sum you received from FPL should be assessed under profits tax pursuant to s.14(1) of the IRO.

I hope the above is helpful to you. Please feel free to contact me if you have any further questions.

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<u>Answer 8(a)</u>

An application for holdover of provisional tax must be lodged not later than:
(a) 28 days before the due date for payment of the provisional tax, or
(b) 14 days after the date of issue of the notice of assessment, whichever is the later.

For SGL, the deadline for holdover application is the later of:
(a) 28 days before the due date for payment of the provisional tax (30 November 2021), i.e. 2 November 2021, or
(b) 14 days after the date of issue of the notice of assessment (15 July 2021), i.e. 29 July 2021.

Thus, SGL must file the holdover application by 2 November 2021 latest.

SGL can apply for holdover on the following grounds:
(a) It will cease to carry on the trade, profession or business before the end of the year of assessment 2021/22; and
(b) Its assessable profits for the year of assessment 2021/22 is likely to be less than 90% of the provisional amount assessed.

<u>Answer 8(b)</u>

(i) <u>Cessation year and basis period</u>

SGL is a new business (commenced business on or after 1 April 1974). Under s.18D(1) of the IRO, the basis period for the year of cessation is from the date following the end of the basis period of the preceding year of assessment to the date of cessation.

SGL ceased business on 31 January 2022 which fell within the year of assessment 2021/22.

Its basis period of the preceding year of assessment, i.e. 2020/21, ended on 30 June 2020 [s.18B(2) of the IRO].

Applying s.18D(1), SGL's basis period for the year of assessment 2021/22 (i.e. year of cessation) is from 1 July 2020 to 31 January 2022 (date of cessation).

(ii) <u>Gratuitous cash sponsorship</u>

S.15(1)(c) of the IRO provides that sums received by or accrued to a person by way of grant, subsidy or similar financial assistance in connection with the carrying on of a trade, profession or business in Hong Kong, other than sums in connection with capital expenditure made or to be made by the person, are deemed trading receipts and chargeable to profits tax.

The gratuitous cash sponsorship received from customer was to support SGL's daily operation and was not a capital receipt. It is deemed by s.15(1)(c) as a trading receipt chargeable to profits tax.

(iii) Loss on disposal

S.17(1)(c) of the IRO provides that no deduction shall be allowed for any expenditure of a capital nature or any loss or withdrawal of capital.

Loss on disposal of the fitness equipment charged in SGL's statement of comprehensive income is a capital loss which is not deductible and should be added back.

(iv) Balancing adjustment under pooling system

S.39D(2) of the IRO provides that where a person ceases to carry on his trade, profession or business and the sale proceeds received for the machinery or plant exceed the reducing value of the pool, a balancing charge in the amount equal to the excess should be made.

Balancing charge to be made:
Sale proceeds of fitness equipment HK$100,000 - Written down value brought forward HK$38,000 = HK$62,000.

* * * END OF EXAMINATION PAPER * * *